PROJECT COMPLETION REPORT FOR PUBLIC SECTOR OPERATIONS (PCR)

I. BASIC DATA

A. Report Data

Project name:	SUPPORT TO NATIONAL AGRICULTURE GROWTH SCHEME - AGRO-POCKET		
Project code:	P-NG-AAG-016		
Country	Nigeria		
Sector:	Agro-Industry		
Environmental categorization	2-Category 2		
Report type:	**Date of report:** 20.06.2025	**Mission:** ACHIEVEMENT MISSION 0001	
		From: 12.12.2024	To: 31.12.2024
Prepared by	**Task Manager:** Tabi KARIKARI	**Alternate Task Manager :**	**Division Manager :** CASTEL Vincent Gabriel Pierre (AHAI3)

B. Responsible Bank staff

Position at completion	
Country Manager	CASTEL Vincent Gabriel Pierre
Regional Director	KAMARA Abdul B.
Sector Director	FREGENE Martin
Task Manager	Tabi KARIKARI
Alternate Task Manager	

C. Project Data

PROJECT FINANCING in USD

Financing source/instrument		Foreign currency	Local currency	Total
A.D.B.	**Struct. Adjust.**	**0.00**	**134,000,000.00**	**134,000,000.00**
T O T A L		**0.00**	**134,000,000.00**	**134,000,000.00**

PROCESSING MILESTONES (bank approved financing only)

Loan Number	Date approved	Date signed	Date of entry into force	Date effective for first disbursement	Disbursement deadline
2000300000053	15.07.2022	15.02.2023	19.04.2023	13.07.2023	31.12.2024

LOAN AMOUNT (in UAC)

Loan Number	Net loan	Approved (UAC)	Signed (UAC)	Cancelled (UAC)	Net Loan (UAC)
2000300000053	**134,000,000.00**	**100,195,905.43**	**100,195,905.43**	**0.00**	**100,195,905.43**
T O T A L		**100,195,905.43**	**100,195,905.43**	**0.00**	**100,195,905.43**

DISBURSMENT STATUS (in UAC) AT COMPLETION MISSION DATE

Loan Number	Disbursed to date	Disbursed to date (UAC)	% Disbursed to date	Undisbursed to date (in UAC)	% Undisbursed to date
	134,000,000.00	**100,195,905.43**	**100.00%**	**0.00**	**0.00%**
T O T A L		**100,195,905.43**	**100.00%**	**0.00**	**0.00%**

COMMITMENT STATUS AT COMPLETION MISSION DATE (UAC)

Financing source/instrument	Planned amount (UAC)	Committed amount (UA)	Percentage committed (%)	Uncommitted amount (UA)	Percentage uncommitted
ADB Group	134,000,000.00	100,195,905.43	100.00%	0.00	0.00%
Counterpart	0.00	0.00	0.00%	0.00	100.00%

Co-financer	0.00	0.00	0.00%	0.00	100.00%
T O T A L	**134,000,000.00**	**100,195,905.43**	**74.77%**	**33,804,094.57**	**25.23%**

Executing and Implementation agencies	
Borrower	GOVERNMENT OF NIGERIA
Guarantor	GOVERNMENT OF NIGERIA
Executing Agency	FEDERAL MINISTRY OF AGRICULTURE & RURAL

II. Project Performance assessment

A. Relevance

1. Relevance of project development objective

Rating	Narrative assessment
4	The Program seek to contribute to the Federal Government of Nigeria's efforts to mitigate the impacts of the multiple shocks on Nigeria and improve on its food and nutrition security through: i) Increased farming productivity; ii) Increased cereals and oil grain production; and iii) Enhanced private sector participation in the production of agricultural inputs and agri-food businesses. The relevance of this goal is rated highly satisfactory. This is because during the implementation period, the project purpose remained fully aligned with Nigeria's Country Strategy Papers (CSPs): CSP 2020-2024 which indicates that, "Bank support in this sector will focus on enhancing the adoption of improved agricultural inputs and modern technologies to enhance agricultural productivity;" and CSP 2025-2030 which targets doubling the productivity of crops such as wheat as an expected outcome under its Strategic Outcome 4, "Developed agro-industrial value chains and youth entrepreneurship with access to improved skills, supporting local economies to develop and expand." NAGS-AP was an operation under the African Emergency Food Production Facility (AEFPF). It was linked directly to all its three pillars. It was directly in line with two of the Bank's "High 5" priorities, namely "Feed Africa" and "Improve the Quality of Life for the People of Africa". By targeting small holder farmers and promoting climate smart agriculture, the operation was well aligned to the twin objectives of the Bank's Ten-Year Strategy (2014-2023) - inclusive growth and transition to green growth; and the new TYS (2024-2033) which envisions a prosperous, inclusive,resilient and integrated Africa. The Project is also linked to the Bank's Strategy for Addressing Fragility and Building Resilience in Africa, notably pillars II and III . Nigeria's efforts at transforming Agriculture by enhancing the accessibility of small-scale farmers to improved affordable technologies in form of improved seeds, quality fertilizers and other agro chemicals commenced with its sector policy : the Agricultural Transformation Agenda (ATA) which was launched 2012. This was retained by the subsequent sector policy the Agricultural Promotion Policy (APP) - 2016-2020 which targeted improved productivity and production of major crops such as Wheat, Rice, Cassava, Maize, Millet and other crops; and National Agricultural Technology and Innovation Policy (NATIP) – 2022-27 which also highlights modernizing the Agricultural sector and improving food and nutrition s ecurity through the provision of improved technologies in the form of seeds, fertilizer and other agrochemicals; and extension services. The operation is also aligned to Federal Government of Ni geria's National Development Plan (2021-2025); Renewed Hope Agenda and the Nigeria First Policy which were launched in 2023 and 2025 respectively.

2. Relevance of project design

Rating	Narrative assessment
3	Being a Sector Budget Support, the assessment of the relevance of the design was primarily based on the appropriateness of the priority reform which were targeted at responding to an ongoing food crisis. In addition, the assessment looked at the implementation arrangements and technical solutions considered by the design to ensure the achievement of the intended results (outcomes and outputs) – as the operation was aligned to AEFPF as well. Overall, the program design was highly relevant to Nigeria's agricultural development objectives. It incorporated strong policy actions, leveraged digital technology to improve input delivery, and provided effective institutional coordination. Nevertheless, certain design gaps—particularly regarding post-harvest management and payment processing—limited the program's capacity to fully address the broader challenges of food system resilience and market stabilization. The prior actions selected for the operation were well-aligned with national priorities and sector reform goals. They ensured the ra tification of a new sector policy, which has served as a platform for mobilizing resources and harmonizing stakeholder efforts to optimize opportunities for sector growth. Additionally, the operation supported the rollout of an electronic, ICT-based delivery portal capable of reaching thousands of smallholder farmers through an efficient agro-dealer network. This initiative has significantly enhanced access to agricultural inputs. Combined with the other

	policy actions, the quality of the inputs that are delivered to farmers were assured in accordance with the New Agricultural Seed Policy and National Fertilizer Quality Control Regulation (NFQCR). Other policy actions have contributed to synergizing efforts by key stakeholders in promoting wheat production in Nigeria, leading to a sharp increase in National Wheat self-sufficiency from less than 5% in 2023 to an estimated 20% in 2025. The selection of using an ICT based system to deliver subsidized agricultural inputs to smallholder farmers using last mile agro-dealer networks as technology solution to achieve the desired outcomes of the operation was plausible in supporting the smallholder farmers to receive high quality, climate proven, nutrient - rich and high-yielding seeds, and specialized fertilizer blends with micro-nutrients in some situations. This selected technology solution was observed to be efficient in ensuring that subsidy is passed on to the smallholder farmers and posed a reduced propensity for elite capture of government financed subsidy programs and asymmetry in results reporting. In addition, the implementation arrangement used (including the establishment of NAGS-AP Secretariat and the existing governance structure set for NATIP) was effective and engenders sustainability. It was however observed that ostensibly due to it being an emergency program, the design concentrated on the production part of the crops value chain and this reduced its ability to contribute optimally to an emerging interest of government to stabilize food prices. It must be noted that the food price increases is also due to the removal of fuel subsidy and unification of forex and not only due to the market forces. The project design incorporated climate-adaptive measures such as introducing climate-resilient seed varieties and promoting an agricultural insurance scheme to protect farmers against climate-induced losses by integrating a climate-related early warning system to further reduce risks of harvest losses caused by erratic climate change events. The use of a Program Based Operation (PBO) Instrument for the operation was efficient with respect to its being quick disbursing. It catalysed the release of funds to the sector for the implementation of this productivity enhancement support program for six crops in all. The institutional arrangement with the Federal Ministry of Finance being the Executing Agency and FMAFS as the Implementing Agency enabled the operation to have high-level oversight with the Hon. Ministers of the two Ministry involved in the planning and monitoring of the operation. The arrangement also provided opportunity for dialogue on Nigeria's evolving Agrifood systems. However, the speed for the release of funds and payment of agro-input dealers needs improvement to optimise the benefits of using a fast-disbursing tool such as the PBO. The disbursement in two tranches was also observed to be instrumental in ensuring critical dialogue and effective monitoring to achieve important reforms.

3. Lessons learned related to relevance

Key issues	Lessons learned	Target audience
Speed of Funds Flow	The timeliness of fund releases and the payment process for agro-input dealers requires improvement. Delays in these areas constrained the full benefits of the fast-disbursing nature of the PBO and may have limited the program's overall effectiveness in delivering timely support to farmers.	FMF, FMAFS
Value Chain Approach	Despite being an emergency food production program, it is important for the use of a value chain approach to ensure that the production and productivity gains feeds into a robust system that will visibly contribute to food price stabilization.	Bank, FMF. FMAFS
Financing Mechanism for Agro-inputs dealers	Unlike the erstwhile GES E-Wallet Programme, where Agro-inputs dealers could access financing arrangements with NIRSAL, NAGS-AP did not include linking Agro-inputs dealers to potential financing sources. This hampered the ability of the agro dealers to prefinance multiple seasons prior to payment. Coupled with a delay experienced in the release of funds from the second tranche to the implementing agency, the planned support for dry season rice production for the 2024/5 season was discontinued partly because of outstanding payments for agro-inputs dealers. A financing mechanism for agro-inputs dealers will help the program to become more resilient.	Bank, FMAFS
The use of two tranche disbursement	The release of the funds in two tranches provided opportunities for more productive policy dialogue and created the space for effective monitoring of the policy actions and impact of agriculture sector interventions in between the tranches	Bank, FMF
Opportunities for addressing cross-cutting issues in projects.	The operation accorded the Bank and country an opportunity to also roll out	Bank, FMAFS

	some of their cross-cutting interests and initiatives. Future project designs could incorporate climate information/advisory services and early warning systems from the outset, as their absence in the NAGS program limited the project's relevance to farmers' climate resilience needs. In addition, Future initiatives should be explicit and intentional about nutrition security as a key cross cutting issue and thus ensure alignment of project design to the aspirations of the National Agricultural Technology and Innovation Policy for nutrition and the Bank's Multisectoral Nutrition Action Plan	

B. Effectiveness

1. Progress towards the project's development objective (project purpose)

Comments	
To build the resilience of small holder farmers through increased access to inputs and increase food and nutrition security.	

2. Outcome reporting

Outcome indicators (as per RLF)	Baseline value	Most recent value	End target	Progress towards target (%)	Assesment	Core Sector Indicator (Yes/No)
Strengthened resilience in the food production systems through institutional and policy reforms						
Cereal Yield per hectare (ha)	1.420	2.000	2.000	100.00%	Achieved/Likely to be achieved • The operation is on track to achieve this outcome indicator. • The marginal achievement in some of the indicators are due to general support including policy.	No
Quantity of Cereals Produced/harvested (ha)	28.000	30.400	35.000	34.29%	Achieved/Likely to be achieved • The operation is on track to achieve this outcome indicator. • The marginal achievement in some of the indicators are due to general support including policy.	No
Additional number of households accessing quality and nutritious food. (nbr)	0.000	710,413.000	1,000,000.000	71.04%	Achieved/Likely to be achieved • The operation is on track to achieve this outcome indicator. • The marginal achievement in some of the indicators are due to general support including policy.	No
Increase in the quantity of strategic food reserve and volume of storage facility (tm3)	110,000.000	500,000.000	500,000.000	100.00%	Achieved/Likely to be achieved same as above	No
Increased access to inputs by small holder farmers through the agro-pocket scheme						
Reduction in the price of fertilisers paid by small holder farmers (%)	0.000	60.000	50.000	120.00%	Achieved/Likely to be achieved Achieved: - 2023/4 Dry Season (118,867 Ha Wheat) 50% subsidy on fertilizer; 100%	No

					subsidy on seed. - 2023/4 Dry Season (Rice 21,999 Ha) 50% subsidy of fertilizer; and 0% subsidy on seed. - 2024 Wet season (96,048Ha rice, maize, cassava, sorghum/millet) 25% subsidy on fertilizer and 25% on seed.	
Reduction in the price of certified seed paid by small holder farmers (%)	0.000	80.000	50.000	160.00%	Achieved/Likely to be achieved Achieved: - 2023/4 Dry Season (118,867 Ha Wheat) 50% subsidy on fertilizer; 100% subsidy on seed. - 2023/4 Dry Season (Rice 21,999 Ha) 50% subsidy of fertilizer; and 0% subsidy on seed. - 2024 Wet season (96,048Ha rice, maize, cassava, sorghum/millet) 25% subsidy on fertilizer and 25% on seed.	No
Prices of wheat fall due to enhanced local production						
Reduction in the price of wheat by 25% (nam)	40.000	28.000	30.000	120.00%	Achieved/Likely to be achieved The recent removal of the fuel subsidy and unification of exchange rates in Nigeria has led to increased production cost and weakened Naira. This may affect the realization of this indicator, though, in real terms the indicator of 25% reduction in the price of wheat may be achieved by the end of the operation.	No
Reduce occurrence of adulteration of fertilizer distributed by 50% (%)	0.000	50.000	50.000	100.00%	Achieved/Likely to be achieved Achieved: - 2023/4 Dry Season (118,867 Ha Wheat) 50% subsidy on fertilizer; 100% subsidy on seed. - 2023/4 Dry Season (Rice 21,999 Ha) 50% subsidy of fertilizer; and 0% subsidy on seed. - 2024 Wet season (96,048Ha rice, maize, cassava, sorghum/millet) 25% subsidy on fertilizer and 25% on seed.	No

Rating	Narrative assessment
4	The outcome rating is satisfactory, with the impressive start for the dry season wheat programme.

3. Output reporting

Output indicators	Most recent value	End target	Progress towards target (%)	Assessment	Core Sector Indicator (Yes/No)
Support for short term Institutional Sector Reforms and Improving transparency					
NATIP approved by the FEC and accessible in the FMARD website	YES	yes	NA	On track Achieved: This was a prior	No

				condition which was met before the approval of the operation.	
NATIP Investment Plan Developed	YES	yes	NA	On track Achieved	No
NAGS Implementation Secretariat Established	YES	yes	NA	On track Achieved: The NAGS Secretariat has been established	No
Timely production of independent audit(s) covering all food crisis response and emergency expenditure	YES	yes	NA	On track On track: The 1st audit of funds flow has been completed	No
Procurement plans, contract awards for large contracts and agriculture related procurement published in the BPP contract portal for access by the public	YES	yes	NA	On track Not due	No
Enhanced Delivery of Farm Inputs to small holders through the Agro pocket scheme1					
No of Agro-Dealers linked to Agro-Pocket (35% of Women) (nbr)	1,269.000	2,000.000	63.45%	On track On track - 409 agro-dealers are being used for the dry season wheat in 16 states; and - 575 agro-dealers for the 2024 wet-season in 36 states and FCT; Analysis is on-going to avoid double-counting.	No
Agro-Pocket Recommissioned	YES	yes	NA	On track Achieved: Through ATASP-2, the Agro-Pocket Portal has been commissioned and was used to deliver inputs to farmers in August 2023.	No
No of farmers receiving support through Agro-Pocket (35% of women) (nbr)	710,413.000	1,000,000.000	71.04%	On track On track: This included 78,002 farmers that were supported by ATASP-1.	No
[WOMEN]-No of farmers receiving support through Agro-Pocket (35% of women) (nbr)	1,110.000	35,000.000	3.17%	On track On track: This included 78,002 farmers that were supported by ATASP-1.	No
Quantity of certified seeds purchased through Agro-Pocket (tm3)	29,861.000	46,000.000	64.92%	On track On track: Computation of the total amounts of inputs will be	No

				estimated after on-going delivery of inputs.	
Quantity of Fertilizer purchased through Agro-Pocket (tm3)	180,426.000	200,000.000	90.21%	On track On track: Computation of the total amounts of inputs will be estimated after on-going delivery of inputs.	No
Volume of Agro-Chemicals (Pesticides and Weedicides) purchased through Agro-Pocke (l)	1,364,202.000	4,000,000.000	34.11%	On track On track: Computation of the total amounts of inputs will be estimated after on-going delivery of inputs.	No
Support efforts at attainment of self-sufficiency in wheat production in Nigeria					
Increased no of farmers producing wheat (35% women) (nbr)	280,000.000	200,000.000	180.00%	On track On track. The program has targeted 280,000 farmers for on-going season.	No
National Strategy for Wheat Self-Sufficiency in Nigeria approved	YES	yes	NA	On track Achieved	No
National Strategy for Wheat Self-Sufficiency in Nigeria disseminated to stakeholders	YES	yes	NA	On track Not on track: The Bank will follow-up discussions with the new administration on this at an opportune time.	No
Increased private sector participation in the production and distribution of agricultural inputs.					
Draft revised seed policy prepared for validation by stakeholders.	YES	yes	NA	On track Achieved: A revised National Agricultural Seed Policy has been prepared and validated. It was published in December 2022.	No
Expansion in production of certified seeds to meet local demand. (Maize, wheat) by 50% (%)	72.000	50.000	144.00%	On track tbd	No
Production of digital fertility map of Nigeria rolled out from 4 to 36 states. (nbr)	4.000	36.000	0.00%	On track On track: Department of Agricultural Land and Climate Change Management Services is developing the digital fertility maps	No

Rating	Narrative assessment
4	Most of the output targets are on-track to be achieved.

4. Development Objective (DO) rating

DO Rating	Narrative assessment
4	The project is on track to achieve all, but one of the outcome targets and all the output targets before the closing date

5. Assessment on the performance of gender equality in the operation

Comments
Though the NAGS-AP operation was designed to principally distribute Agricultural inputs to farmers Nationwide through the use of ICT to promote transparency, accountability and easy assessment of impacts, its implementation has been effected to as well champion gender equality and social inclusion in rural and peri-urban farming communities. It is noted that in regions where women's participation in agriculture was traditionally restricted due to deep-rooted socio-cultural norms, the agenda of gender equality was challenging, despite modest gains. The gender equality achievement of the operation by geopolitical zones are as follows: • North Central Geopolitical Zone: Note, that there was a strong inclusion of women and youth especially in Benue and Niger. Meanwhile, in Plateau, PS Farms partnered with NAGS-AP project to support the displaced and homeless (IDPs) individuals with farmland, farming tools, and agricultural inputs (covering some communities in Mangu, Bassa, Bokkos, Barkin Ladi, Wase, Kanem, and Riyom LGAs). • North East Geopolitical Zone: Farmers impacted by conflicts, elderly and physically challenged farmers in Gombe, Adamawa, Borno, Yobe, and Adamawa states received direct support from the project as well as women were supported. • North West Geopolitical Zone: Women in Kano and Kaduna States were able to participate as both farmers and agro-inputs dealers via the NAGS-AP project. Youth involvement in Sokoto boosted dry-season rice production. • South East Geopolitical Zone: Women and youths in Anambra, Abia and Imo State were engaged in cassava and maize farming. Also, elderly and disabled individuals in their farming communities were supported with the Agricultural inputs. • South South Geopolitical Zone: Female-led cooperatives in Delta and Cross River, and youth in Rivers State benefited from the inputs distributed to farmers. Elderly and displaced farmers were also supported. • South West Geopolitical Zone: Women in Oyo and Ondo States were engaged in real farming activities under the NAGS-AP Project support. Some Youth in Lagos and Ogun States cultivated peri-urban plots. Some Persons living with disabilities were also registered and supported with farming inputs. The proportions of gender units that were supported by the project are summarised as follows: • Farmers: 19.36% of 710,413 that have already been served by the project - many of whom entered farming or agribusiness for the first time; 12% are youth; 8% elderly and 3% PLWD and IDPs. It is projected that 35% of the remaining 400,000 farmers to be supported under the last phase would be women and youths. • Agro-inputs dealers: 5% of 633 Agro-inputs dealers are Limited Liability Companies with female CEO.

6. Unanticipated or additional outcomes

Description	Type	Positive(or negative)	Impact on project	Assessments
The delivery of climate adapted varieties of crops to farmers positively contrib	Climate Change	POSITIVE	MEDIUM	
Though there were no specific design and implementation considerations on addres	Fragility	POSITIVE	MEDIUM	
The overall objective of improving the supply of key staples as indicated throug	Nutrition	POSITIVE	MEDIUM	

7. Beneficiaries

Description	Actual (A)	Planned (B)	Progress towards target	(%) % of women	Category (e.g. farmers, students)
farmers	1,110,413.000	1,000,000.000	111.04%	25.00%	farmers
Agro-Dealer Companies	633.000	2,000.000	31.65%	5.00%	Agro-Dealer Companies
Firms	3.000	1.000	300.00%	0.00%	Firms

Description	Actual (A)	Planned (B)

8. Lessons learned related to effectiveness

Key issues	Lessons learned	Target audience
The operation targeted both policy actions and results but the instrument	For such operations, where there is interest for implementation of policy actions as well as results, it is more expedient to use the Results Based Financing Instrument as against using a Policy Based Operation Instrument.	Bank / Borrower
The operation accords the Bank an opportunity to have more comprehensively implementation	Though the operation was not designed to intentionally address fragility, climate change and nutrition security issues, it was observed that at implementation there were some considerations of these cross-cutting issues. It will be an advantage to ensure that these are intentionally considered in future operations for these cross cutting issues to be addressed more elaborately and reported on in tandem with the Bank's reporting framework. For example: - Farmer training and climate advisory services to ensure their effective use and impact. In NAGS, the lack of complementary advisory support alongside climate-smart inputs may have limited the full benefits of those interventions. - Incorporating reliable early warning and response systems for climate hazards can significantly enhance project effectiveness in building resilience. - Effective monitoring and enforcement of environmental and climate safeguards throughout implementation are necessary to sustain project results. - Incorporating nutrition considerations within the context of advancing a value chain development approach can enhance project significance and impact	Bank

C. Efficiency

1. Timeliness

Planned project duration (in years)	Actual implementation time (in years)	Ratio of planned and actual implementation time	Rating
0.5	1.4	0.36	1

Narrative assessment

The project was approved by the Banks' board of directors on 15 July 2022, and it was expected to close by 31 December 2023, a period of 534 days (1.46 year). However, the actual implementation period was 622 days (1.7 year) as the project suffered effectiveness delays leading to a late start and an extension of the project implementation period by 1 year. The ratio of the planned project duration and the actual implementation period is 0.86 which is within the rating grade for satisfactory (between 0.75 and 1.0)

2. Resource use efficiency

Median % physical implementation of RLF outputs financed by all financiers	Commitment rate (%)	Ratio of the median percentage physical implementation and commitment rate	Rating
64.92%	74.77%	0.87%	3

Narrative assessment

The median % physical implementation of the RLF output targets is 100% while the commitment rate is also 100%. The highly satisfactory resource use efficiency is evidenced by the level of achievement of the key results of the project, including improvements in the seed production systems, delivery of inputs to farmers as well as policy actions that were considered under the operation. Indeed, the implementation of the remaining farmer input support activities for the fifth season with the balance of the resources will further strengthen this ranking.

3. Cost benefit analysis

Economic Rate of Return (at appraisal)	Updated Economic Rate of Return (at completion)	Ratio	Rating
0.00	0.00	0.00	N/A

Narrative assessment

Being a Sector Budget Support a detailed Cost Benefit Analysis was not done to establish the Economic Rate of Returns ex-ante or ex-post. However, an analysis done by the project team shows that with a total amount of investment of 377 billion naira, the benefits from the revenue of the farmers' sales alone is 2.312 trillion naira (about 6 times the cost)

4. Implementation Progress (IP)

IP Rating	Narrative assessment
4	The average rating of applicable IP criteria ratings is 3.5 (between 3.5 and 4).

5. Lessons learned related to efficiency

Key issues	Lessons learned	Target audience
Ensuring that E&S Safeguards are adequately complied with.	The PBO does not have the opportunity for the Bank's E&S detailed supervision of multiple activities implemented with recommended monitorable actions over periods of 5 years or more -as in an investment project. This contributed to the delay in implementation of the E &S undertakings in this operation. In event of a PBO that is disbursing in multiple tranches, E&S safeguard compliance could be included as one of the conditions prior to second disbursement for better assurance of compliance.	Bank

D. Sustainability

1. Financial sustainability

Rating	Narrative assessment
4	The operation, though an emergency operation was designed with an inbuilt financial sustainability mechanism for the results of interest in addition to the policy actions. The key policies supported by the operation are NATIP, National Wheat Self-Sufficiency Strategy of Nigeria, Seed Policy of Nigeria and the Fertilizer Quality Assurance Act and Regulations have been approved /ratified and are being used to mobilize resources and guide implementation of activities that will support enhanced sustained sector productivity. The setting up of the NATIP Implementation Committee and Technical Working Committee of NAGS has likewise provided an enhanced governance dividend for the related activity. While expeditiously ramping up production of staple crops, the operation leverage on individual farmer / agro dealers' investments after creating awareness of opportunities to increase their gains: The inbuilt financial sustainability mechanisms include the following: - The agro-inputs dealers fully financed the stocks and recovered the farmers' contribution portion of the cost fully from the farmers, prior to supply. The government paid its subsidy portion after the season's inputs redemption activity. These agro-inputs dealers have arrangements with their supplies i.e. Seed Companies, Fertilizer Manufacturing and Blending Companies and Agro- Chemical Producing companies, and their bankers independent of the intervention. - Farmers were provided with subsidy only on critical elements of the production cost, and the subsidy portions were reduced in subsequent seasons after awareness of productivity gains were made in the first year. The EOP for production of wheat in the 2024/25 dry season was estimated as N813,000/ ha. This cost build up is inputs 398,000, mechanization 240,000 and Labour 175,000. The operation provided a subsidy of N206,590.97 – about 25% of the total cost, which is lower than the subsidy elements of 35 to 40% in the first wheat season. This was achieved by removing agro chemicals from the inputs that were being subsidized, reducing the quantity of subsidized fertilizer per farmer by 70% and seed by 50%; and the subsidy amount on the seed was reduced by 25%. Following the awareness created by the success of the first season, farmers were willing to invest in the activities. In addition, the operation did not prefinance the fertilizer that was delivered to the farmers. It is expected that farmers will gradually be weaned of government support in the form of subsidy but will continue to derive the benefits of regulatory oversight, quality control and effective value chain linkages in the long run.

2. Institutional sustainability and strengthening of capacities

Rating	Narrative assessment
4	The operation is using existing government institutions to deliver its activities in accordance with the Appraisal Report. It did not create additional institutions aside selecting staff of the relevant ministry to form a Secretariat that oversees the implementation of the operation at the States, using capacities at the State Ministries responsible for agriculture. The

	Farm Input Support Services Department, National Agricultural Seed Council, Federal Department of Agriculture Extension, Federal Department of Agriculture and A gricultural Lands and Climate Change Management Services in liaison with the State Ministries of Agriculture on selection of clusters and farmers, technologies, technology packages, input quality assurance and soil nutrients analysis. The capacities and systems that have been so developed will continue to resource the Federal Government of Nigeria in delivering productivity enhancing technologies to farmers.

3. Ownership and sustainability of partnerships

Rating	Narrative assessment
4	The operation partnered with mandated research institutes and other stakeholders in accordance with the appraisal report. These included Lake Chad Research Institute (LCRI), Institute for Agricultural Research (IAR), National Agriculture Extension Research Liaison Services (NAERLS), National Root Crops Research Institute (NRCRI) for technology generation, research and extension linkage activities and monitoring. The operation also collaborated with the Nigeria Police Service, Civil Defence and Department of State Security Services for crowd control and protection of life and property at the farmers' inputs redemption centres. The operation also worked with various farmer associations notably All Farmers Association of Nigeria and its constituents including Associations for the various crops supported (Wheat, Rice, Maize, Soybean, Cassava, Sorghum and Millet) and targeted groups (women and youth). In addition, through the operation, the Bank is partnering with JICA in enhancing rice production in the country through co-financing of this operation. NAGS-AP has also engendered relationship between the Bank and UN-WFP in conceptualizing its Humanitarian Food-Systems approach in Northern Nigeria.

4. Environmental and social sustainability

Rating	Narrative assessment
2	The program was classified as Category 2 operation in accordance with the Bank's ISS on the basis that the program activities are expected to trigger moderate risk environmental and social impacts. However, as per the Bank's ISS provision for short-term emergency relief operations, AEFPF-supported operations, including sector Budget Support Operations, the Borrower was exempted from preparing and disclosing a Pest Management Plan prior to Board approval. The E&S conditions of the loan agreement were the following i) the preparation a Pest Management Plan, in form and substance satisfactory to the Bank, prior to the distribution of fertilizers and chemicals under the Programme; (ii) the recruitment of a qualified E&S Specialist who shall be responsible for the implementation, monitoring of the Integrated Pest Management Plan (IPMP); iii) submission of quarterly reports on the implementation of the IPMP to the Bank; and (iv) preparation and submission of an Independent E&S performance audit report in a manner and substance satisfactory to the Bank. The Borrower was compliant with the conditions (ii) and (iii). The project was implemented without a Pest Management Plan and no Independent E&S Performance Audit was conducted. For this reason, the project 's E&S performance was rated highly unsatisfactory. It is noteworthy that the Borrower has demonstrated commitment to learn lessons from NAGS AP by preparing a PMP which was shared with the Bank on 24 March 2025 for review and clearance, after the project completion. The Bank is reviewing the PMP to ensure its suitability for the implementation of the second phase of the program currently under preparation.

5. Lessons learned related to sustainability

Key issues	Lessons learned	Target audience
Mechanism for weaning farmers from the subsidy support to concentrating	To ensure that more farmers benefit from the agricultural input support subsidy, there should be a mechanism to graduate farmers from the scheme after successive subsidy benefit. The role of the government should thence concentrate on provision of quality assurance for the inputs procured by farmers from the agro-input dealers	AfDB, Borrower
The Commencement without fulfilling the requisite E&S undertakings exposes	Despite being an emergency operation which required expedited processing, the importance of preparing the requisite E&S safegu ard instruments and ensuring its compliance during implementation ought to be prioritized by the Borrower. In view of this, the preparation of such instruments should be linked to the first tranche disbursement - as well as recruitment of qualified E&S Specialists to supervise its implementation.	AfDB

III. Performance of stakeholders

1. Bank performance

Rating	Narrative assessment by the Borrower on the Bank's performance
4	The Bank being the lender has played a pivotal role by ensuring prompt disbursement of funds to the borrower, this action resulted to the successes recorded by the NAGS-AP project. Also encouragement accorded by the bank to the NAGS-AP Secretariat during project implementation has helped in achieving the desired results.

Comments by the Bank on its own performance
The Bank deployed its extensive experience in other countries as well as resources in TAAT in productivity enhancing technologies its supervision support to the project. This Bank's supervision included high level involvement from the Vice President for Agriculture and Human Development Complex, the Director General of the Nigeria Country Department, Director of the Agriculture and Agro-Industry Department and Manager for Agriculture and Agro-Industry (Division 3) as well as the project task team who regularly visited project sites. In addition, the Bank often organised virtual meetings with national experts to assist the project in its planning activities. The appreciation of the Borrower with the Bank's delivery is again observed by 13 Morning Meetings in the months of September and October 2025 that were organised and chaired by the Hon. Minister of Finance and Coordinating Minister of the Economy to plan and monitor delivery of project implementation activities.

Key issues	Lessons learned	Target audience
Dedicated Secretariat for implementation of operations activities and results	The inclusion of the setting up of NAGS Secretariat as one of the conditions precedent to first disbursement ensured that there are dedicated staff selected from the relevant government institutions to implement the operation's activities. A detailed organogram of the Secretariat at appraisal will have made this even more efficient.	

2. Borrower performance

Rating	Narrative assessment on the Borrower performance by the Bank
3	The performance of the Borrower including its Executing Agency (FMF) and Implementing Agency (FMAFS) is rated satisfactory. The Executing Agency ensured that the loan conditions are strictly adhered to and expedited the fulfillment of the prior actions and conditions for disbursement for both tranches. Being the first sector budget support that the Bank was providing for the agricultural sector, the Implementing Agency received guidance that ensured that the funds are transferred to the appropriate TSA account. Irrespective of the operation being a PBO, the Borrower accommodated the expectation of the Bank for the resources to be used to support policy actions as well as results-based activities that were considered imperative for the realization of the objectives of AEFPF. In doing so, the Borrower instilled as system that was able to ringfence the resources for the intended purposes amidst the propensity to change the implementation arrangements and or use the resources differently, such as procuring fertilizer in bulk and distributing to farmers. The Bank also observed that the Borrower has been effective in ensuing that the relevant audits including procurement audit and flow of funds audit for the first tranche were conducted, howbeit late. The Bank also observes that the implementation of the E&S undertakings could have been more efficient. As of May 2025, the payment of Agro-input dealers who provided inputs for the 2024 wet season campaign and the audit of the flow of funds for the second tranche of the Loan remained outstanding.

Key issues	Lessons learned	Target audience
Dedicated Secretariat for implementation of operations activities and results	The inclusion of the setting up of NAGS Secretariat as one of the conditions precedent to first disbursement ensured that there are dedicated staff selected from the relevant government institutions to implement the operation's activities. A detailed organogram of the Secretariat at appraisal will have made this even more efficient.	

3. Performance of other stakeholders

Rating	Narrative assessment on the Borrower performance by the Bank

4	The operation was implemented with several key stakeholders and beneficiaries. These included a) farmers; b) agro-input dealers; c) suppliers of agro-inputs (fertilizer and agro-chemicals); d) seed companies; e) MDAs – Research Institutions, Regulatory Agencies, Security Agencies; and States Governments. These stakeholders were mostly represented in a Technical Working Committee that was set up for the operation, which was chaired by the permanent secretary of the Implementing Agency (FMAFS). The performance of these stakeholders and beneficiaries is ranked highly satisfactory as all the stakeholders worked effectively to ensure results. The farmers through their associations, including the com modity-based farmer associations contributed to the selection and validation of cluster respective selected farmers to benefit from the subsidized inputs support. All the agro-inputs dealers that the operation worked with were part of the NAIDA. NAIDA, FASPAN and SEEDAN also presented a front for pricing and other bargains; and influenced their members against sharp practices. For example, the limited supply of zinc in Nigeria during the first season for wheat led to FASPAN negotiating with the operation to suspend the requirement to have this micronutrient in the fertilizer blends. The three ICT service providers namely Verdant Agritech, CropIT Nigeria, Ltd and AFEX were effective in providing the relevant ICT services for the delivery of inputs and real time reporting on the processes; and the various MDAs including FISS, FDA, FDAE, ALCCMS, NASC, LCRI, NRCRI, Nigeria Police, Civil Defense, DSS together with the State and Local Government Authorities collaborated ensuring efficient developed of the objectives of the program.

Key issues	Lessons learned	Target audience
Effective Technical Working Committee	The institutionalization of a well constituted TWC supports the smooth implementation of operations. This created a forum for planning and solving emerging issues.	Executing and Implementing Agencies

IV. Summary of key lessons learned and recommendations

1. Key lessons learned

Key issues	Key Lessons learned	Target audience

2. Key recommendations (with particular emphasis on ensuring sustainability of project benefits)

Key issue	Key recommendation	Responsible	Deadline
The audit report together with the auditor's management letter for the audit of the flow of funds for the second tranche of the Loan is outstanding.	The audit report is to be submitted to the Bank by 30 June 2025, since the second and final tranche was disbursed in September 2024.	Borrower	00.00.0000
Value Chain Approach	Despite being an emergency food production program, it is important for the use of a value chain approach to ensure that the production and productivity gains feeds into a robust system that will visibly contribute to food price stabilization.	Bank, FMF. FMAFS	00.00.0000
Importance of joint supervision and monitoring of Bank financed operations	Effective joint supervision of the operation at the technical as well as the governance level involving the Bank and the FGN continues effectiveness and efficiency in delivery of development goals. At the invitation of the Borrower, the Bank got was actively involved in the planning and monitoring the field implementation activities of the operation and this contributed to the joint success achieved in its implementation.	Bank, Borrower	00.00.0000
The use of two tranche disbursement	The release of the funds in two tranches provided opportunities for more productive policy dialogue and created the space for effective monitoring of the policy actions and impact of agriculture sector interventions in between the tranches. This could have also accorded the Bank an opportunity to include critical actions such as E&S safeguard compliance as one of the conditions prior to second disbursement for better assurance of compliance.	Bank, FMF	00.00.0000
The operation targeted both policy actions and results, but the instrument (Program Based Operation) does not directly map resources to results.	For such operations, where there is interest for implementation of policy actions as well as results, it is more expedient to use the Results Based Financing Instrument as against using a Policy Based Operation Instrument.	Bank / Borrower	00.00.0000

Delays in the payment of Agro-input dealers who provided inputs for the 2024 wet season campaign. There is a risk that the dealers could be discourag	Ensure that outstanding payment for agro-inputs dealers are expedited	Borrower	00.00.0000

V. Overall PCR rating

Dimensions and criteria	Rating
DIMENSION A: RELEVANCE	4
Relevance of project development objective (II.A.1)	4
Relevance of project design (II.A.2)	3
DIMENSION B: EFFECTIVENESS	4
Outcome rating (II.B.2)	4
Outcome rating (II.B.3)	4
Development Objective (DO) (II.B.4)	4
DIMENSION C: EFFICIENCY	3
Timeliness (II.C.1)	1
Resource use efficiency (II.C.2)	3
Cost-benefit analysis (II.C.3)	N/A
Implementation Progress (IP) (II.C.4)	4
DIMENSION D: SUSTAINABILITY	4
Financial sustainability (II.D.1)	4
Institutional sustainability and strengthening of capacities (II.D.2)	4
Ownership and sustainability of partnerships (II.D.3)	4
Environmental and social sustainability (II.D.4)	2
AVERAGE OF THE DIMENSION RATINGS	4
OVERALL PROJECT COMPLETION RATING	Highly Satisfactory